IPO Note: Gopal Snacks Ltd.

Industry: Consumer Goods **Date: March 05, 2023**

Issue Snapshot	
Company Name	Gopal Snacks Ltd.
Issue Opens	March 06, 2024 to March 11, 2024
Price Band	Rs. 381 to Rs. 401
Bid Lot	37 Equity Shares and in multiples thereof.
The Offer	Public issue of 1,62,09,476 Equity shares of Face value Rs. 1 each, (Comprising of OFS).
Issue Size	Rs. 650.0 Crore
IPO Process	100% Book Building
Face Value	Rs. 1.00
Exchanges	NSE & BSE
BRLM	Intensive Fiscal Services Private Ltd., Axis Capital Ltd. and JM Financial Ltd.
Registrar	Link Intime India Private Ltd.

Issue Break up		
QIB ex Anchor	20%	32,24,439
Anchor Investor	30%	48,36,658
HNI<Rs. 10 Lakhs	5%	8,06,110
HNI>Rs. 10 Lakhs	10%	16,12,219
RII	35%	56,42,768
Total Public	**100%**	**1,61,22,195**
Employee Reservation		87,282
Total		**1,62,09,476**

Equity Share Pre Issue (Nos. Cr.)	12.5
OFS Share (Nos. Cr.)	1.6
Equity Share Post Issue (Nos. Cr.)	12.5
Market Cap (Rs. Cr.)	4,996.6
Stake Sale by OFS	13.0%

Objects of the Offer

Offer for Sale

The Company will not receive any proceeds of the Offer for Sale by the Selling Shareholder. (up to ₹800 million by Bipinbhai Vithalbhai Hadvani, up to ₹5,200 million by Gopal Agriproducts Private Limited and up to ₹500 million by Harsh Sureshkumar Shah)

Company Highlights

- Gopal Snacks Ltd. (GSL) is a fast moving consumer goods company in India, offering ethnic snacks, western snacks and other products in ten States and two Union Territories as of September 30, 2023. The company offer a wide variety of savoury products under its brand 'Gopal', including ethnic snacks such as namkeen and gathiya, western snacks such as wafers, extruded snacks and snack pellets, along with fast-moving consumer goods that include papad, spices, gram flour or besan, noodles, rusk and soan papdi.
- In FY23, in terms of sales revenue through the segments, GSL stood as the second largest organized ethnic namkeen manufacturer in Gujarat, and fourth largest packaged ethnic namkeen and papad manufacture in India. Further, in FY23 the company holds the position of being the largest manufacturer of gathiya (in terms of production volume and sales revenue) and snack pellets (in terms of production volume) in India. The entity accounts for approximately 20% of the market share in the ethnic savories, 8% in western snacks and 6% in the papad industry in Gujarat (including organized and unorganized sectors) in FY23. Gujarat is considered to be one of the most lucrative markets in the snacks segment and hence established entities like GSL faces fierce competition from local players such as Gokul Snacks.
- As of September 30, 2023, product portfolio comprised 84 products with 276 SKUs across various product categories, thereby addressing a wide variety of tastes and preferences. The company has expanded footprint across India, with products being sold over 523 locations in ten States and two Union Territories as of September 30, 2023. Distribution network comprised three depots and 617 distributors, complemented by sales and marketing team comprising 741 employees, as of September 30, 2023. The company also rely on channels such as ecommerce, modern trade and exports for sale of products. In addition, as of September 30, 2023, the company owned a fleet of 263 logistics vehicles to support distribution network.

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- GSL operate six manufacturing facilities comprising three primary manufacturing facilities and three ancillary manufacturing facilities. Three primary manufacturing facilities are located at Nagpur, Maharashtra; Rajkot, Gujarat; and Modasa, Gujarat and these facilities primarily focus on the manufacturing of finished products. Three ancillary manufacturing facilities primarily focus on producing besan or gram flour, raw snack pellets, seasoning and spices which are primarily used for captive consumption in the manufacturing of finished products such as gathiya, namkeen and snack pellets. Of the three ancillary manufacturing facilities, two ancillary manufacturing facilities are located at Rajkot, Gujarat and one ancillary manufacturing facility is located at Modasa, Gujarat.
- As of September 30, 2023, the aggregate annual installed capacity of six manufacturing facilities was 404,728.76 MT, of which the aggregate annual installed capacity of three primary manufacturing facilities (including the annual installed capacity for papad which is manufactured at one of our ancillary manufacturing facilities located in Rajkot, Gujarat) was 303,668.76 MT and the aggregate annual installed capacity of three ancillary manufacturing facilities (excluding the annual installed capacity for papad) was 101,060.00 MT.

View

- Gopal Snacks has a diversified product portfolio capable of capturing the growing Indian snacks market. As of September 30, 2023, the product portfolio comprised 84 products, with 276 SKUs across product categories, including 31 and eight products in the namkeen and gathiya categories, respectively. Over the years, the company developed an understanding of the preferences and tastes of consumers, enabling to strengthen foothold in the Indian snacks industry.
- As per the F&S Report, the Indian market for savoury snacks which includes western snacks and ethnic savouries or traditional snacks (including gathiya), is estimated to be valued at Rs. 796 billion in FY23, of which western snacks and ethnic savouries (including gathiya) were estimated to be valued at Rs. 409 billion and Rs. 388 billion, contributing 51% and 49% of the overall Indian savoury snacks market, respectively. The Indian market for savoury snacks is projected to grow at a CAGR of approximately 11% reaching Rs. 1,217 billion by FY27. Further, the organized market is estimated to hold a market share of approximately 57% in FY23 in the Indian market for savoury snacks and is forecasted to grow at a CAGR of 11.7% during FY23 to FY27, accounting for a market share of approximately 58% by FY27.
- GSL intend to continue to gain market share and strengthen position in core market of Gujarat. In FY23, Gujarat contributed approximately 10.5%, approximately 12.3% and approximately 10.6% to the overall markets of ethnic savouries, western snacks and papad, respectively, in India. As per the F&S Report, in Gujarat, the estimated market size is ₹ 38,000 million to ₹ 40,000 million, ₹ 48,000 million to 50,000 million and ₹ 8,500 million to ₹ 9,000 million in the overall ethnic savouries, western snacks and papad segments, respectively.
- GSL focus markets comprises Maharashtra, Rajasthan, Madhya Pradesh and Uttar Pradesh. The company has selected focus markets based on their geographical proximity to existing manufacturing facilities and the potential for expanding product portfolio in those regions.
- The company has developed product portfolio to provide consumers with products with different tastes at various price points based on market research and understanding of consumer tastes and trends. The company typically evaluate new products based on a set of criteria, including ability to create various offerings, competitive intensity, go-to market capability, back-end product fitment, category, scale and profitability of the new products.
- The company recorded an increase in its revenue from Rs 1128.86 crore in FY21 to Rs 1394.65 crore in FY23 at a CAGR of 11.15%. Additionally, due to its strategic location of manufacturing facilities, the company had the lowest transportation cost as a percentage of revenue in FY23 in the snacks sector. EBITDA has increased by 80.31% CAGR from FY21 to FY23 while EBITDA Margin increased from 5.35% in FY21 to 14.07% in FY23. Net Profit has increased by 130.65% CAGR from FY21 to FY23.
- In terms of the valuations, on the higher price band, GSL demands P/E multiple of 45.0x based on H1FY24 post issue fully diluted EPS.

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Revenue from Operations - Business Vertical

	FY21		FY22		FY23		1HFY23		1HFY24	
	Amount (Rs. Cr.)	% to Total	Amount (Rs. Cr.)	% to Total	Amount (Rs. Cr.)	% to Total	Amount (Rs. Cr.)	% to Total	Amount (Rs. Cr.)	% to Total
Ethnic Snacks										
Gathiya	362.3	32.1%	446.4	33.0%	423.9	30.4%	222.3	31.8%	186.9	27.6%
Namkeen	407.8	36.1%	428.3	31.7%	405.6	29.1%	210.4	30.1%	192.3	28.4%
Total	**770.1**	**68.2%**	**874.7**	**64.7%**	**829.5**	**59.5%**	**432.7**	**61.9%**	**379.2**	**56.1%**
Western Snacks										
Snack Pellets	234.2	20.7%	278.0	20.6%	309.5	22.2%	149.4	21.4%	147.5	21.8%
Wafers	52.5	4.7%	59.1	4.4%	84.4	6.1%	41.2	5.9%	55.3	8.2%
Extruded Snacks	14.7	1.3%	19.8	1.5%	16.5	1.2%	8.1	1.2%	7.7	1.1%
Total	**301.4**	**26.7%**	**356.9**	**26.4%**	**410.3**	**29.4%**	**198.7**	**28.4%**	**210.4**	**31.1%**
Other Products										
Papad	34.9	3.1%	46.6	3.5%	52.9	3.8%	23.1	3.3%	24.5	3.6%
Besan	4.8	0.4%	25.4	1.9%	41.5	3.0%	18.3	2.6%	33.1	4.9%
Spices	0.9	0.1%	1.2	0.1%	5.0	0.4%	1.1	0.2%	4.1	0.6%
Others	0.0	0.0%	0.3	0.0%	4.1	0.3%	0.7	0.1%	6.2	0.9%
Total	**40.7**	**3.6%**	**73.4**	**5.4%**	**103.6**	**7.4%**	**43.2**	**6.2%**	**67.9**	**10.0%**
Others	16.7	1.5%	47.1	3.5%	51.3	3.7%	24.7	3.5%	18.6	2.8%
Total	**1128.9**	**100.0%**	**1352.2**	**100.0%**	**1394.7**	**100.0%**	**699.3**	**100.0%**	**676.2**	**100.0%**

Revenue from Operations – SKUs Mix

	FY21			FY22			FY23			1HFY24		
	Packets Sold (Cr.)	Amount (Rs. Cr.)	% to Total	Packets Sold (Cr.)	Amount (Rs. Cr.)	% to Total	Packets Sold (Cr.)	Amount (Rs. Cr.)	% to Total	Packets Sold (Cr.)	Amount (Rs. Cr.)	% to Total
SKUs available at ₹ 5	261.8	933.3	82.7%	304.9	1091.7	80.7%	284.4	1052.7	75.5%	132.3	476.1	70.4%
SKUs available at ₹ 10	6.1	46.4	4.1%	8.7	60.7	4.5%	16.4	114.7	8.2%	11.7	78.2	11.6%
SKUs available at above ₹10	3.9	132.3	11.7%	4.1	152.6	11.3%	4.6	176.0	12.6%	2.6	103.2	15.3%
Others	0.0	16.7	1.5%	0.0	47.1	3.5%	0.0	51.3	3.7%	0.0	18.6	2.8%
Total	**271.8**	**1128.9**	**100.0%**	**317.7**	**1352.2**	**100.0%**	**305.4**	**1394.7**	**100.0%**	**146.6**	**676.2**	**100.0%**

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Installed Capacity and Capacity Utilisation

Production Stream	FY22			FY23			1HFY24		
	Installed Capacity (MT)	Actual Production (MT)	Capacity utilization (%)	Installed Capacity (MT)	Actual Production (MT)	Capacity utilization (%)	Installed Capacity (MT)	Actual Production (MT)	Capacity utilization (%)
Ethnic Snacks									
Gathiya	92,411	33,007	35.7%	92,411	26,375	28.5%	92,411	13,581	29.4%
Namkeen	1,11,200	32,697	29.4%	1,14,610	29,078	25.4%	1,14,610	15,670	27.3%
Total	2,03,611	65,704	32.3%	2,07,021	55,453	26.8%	2,07,021	29,251	28.3%
Western Snacks									
Snack Pellets	68,882	22,328	32.4%	68,882	20,649	30.0%	68,882	9,791	28.4%
Wafers	6,820	3,095	45.4%	11,367	4,125	36.3%	11,367	2,830	49.8%
Extruded Snacks	6,479	1,211	22.2%	6,479	1,030	15.9%	6,479	443	13.7%
Total	82,181	26,634	32.8%	86,728	25,804	29.8%	86,728	13,063	30.1%
Other Products									
Papad	9,920	3,164	31.1%	9,920	3,526	35.5%	9,920	1,559	31.4%
Besan or Gram Flour	42,780	31,267	73.1%	42,780	28,948	67.7%	42,780	16,446	76.9%
Spices	9,207	915	13.5%	9,207	1,052	11.4%	9,207	619	13.4%
Total	61,907	35,346	59.2%	61,907	33,526	54.2%	61,907	18,624	60.2%

Product manufactured at various manufacturing facilities

Manufacturing Facility	Gathiya	Namkeen	Snack Pellets	Wafers	Extruded Snacks	Papad	Besan	Spices	Raw Pellets	Seasoning
Rajkot, Gujarat (Primary Facility)	✓	✓	✓	-	✓	-	-	-	-	-
Modasa, Gujarat (Primary Facility)	-	✓	✓	✓	-	-	-	-	-	-
Nagpur, Maharashtra (Primary Facility)	✓	✓	✓	-	✓	✓	-	-	-	-
Rajkot, Gujarat (Ancillary Facility I)	-	-	-	-	-	✓	-	✓	✓	✓
Rajkot, Gujarat (Ancillary Facility II)	-	-	-	-	-	-	✓	-	-	-
Modasa, Gujarat (Ancillary Facility III)	-	-	-	-	-	-	-	-	✓	-

Financial Statement

(In Rs. Cr)	FY21	FY22	FY23	H1FY23	H1FY24
Share Capital	1.1	1.1	12.5	1.1	12.5
Net Worth	135.7	177.7	290.9	230.2	346.1
Long Term Borrowings	75.8	79.4	48.5	31.0	9.9
Other Long Term Liabilities	25.1	25.8	25.0	29.4	29.7
Short-term borrowings	63.2	84.8	57.9	103.0	16.2
Other Current Liabilities	42.1	32.2	39.0	51.1	32.7
Fixed Assets	218.3	260.3	248.2	253.8	242.9
Non Current Assets	204.3	5.7	6.8	6.8	6.5
Current Assets	120.7	133.7	206.2	184.0	185.1
Total Assets	341.9	399.7	461.3	444.6	434.5
Revenue from Operations	1128.9	1352.2	1394.7	699.3	676.2
Revenue Growth (%)		19.8	3.1		(3.3)
EBITDA	60.4	94.8	196.2	93.6	94.3
EBITDA Margin (%)	5.3	7.0	14.1	13.4	13.9
Net Profit	21.1	41.5	112.4	52.0	55.6
Net Profit Margin (%)	1.9	3.1	8.1	7.4	8.2
Earnings Per Share (Rs.)	1.7	3.3	9.0	4.2	4.5
Return on Networth (%)	15.6	23.4	38.6	22.6	16.1
Net Asset Value per Share (Rs.)	10.9	14.3	23.3	18.5	27.8

Source: RHP, Ashika Research

Cash Flow Statement

(In Rs. Cr)	FY21	FY22	FY23	H1FY23	H1FY24
Cash flow from Operations Activities	22.4	58.6	121.5	57.5	67.6
Cash flow from Investing Activities	(75.7)	(74.0)	(25.1)	(12.0)	(11.3)
Cash flow from Financing Activities	57.5	11.8	(68.8)	(36.5)	(83.8)
Net increase/(decrease) in cash and cash equivalents	4.3	(3.7)	27.6	9.0	(27.5)
Cash and cash equivalents at the beginning of the year	0.5	4.8	1.1	1.1	28.6
Cash and cash equivalents at the end of the year	4.8	1.1	28.6	10.1	1.2

Source: RHP

Comparison with Listed Industry Peers

Co Name	Net Sales (Rs. Cr.)	OPM (%)	D/E (x)	ROCE (%)	RONW (%)	P/E (x)	P/BV (x)	EV/EBIDTA (x)	MCap/Sales (x)	Market Cap (Rs. Cr.)
Gopal Snacks Ltd.	1394.7	14.1	0.1	43.1	38.6	45.0	14.4	25.9	3.6	4996.6
Bikaji Foods International Ltd.	1966.1	11.1	0.2	17.7	14.4	69.9	12.0	42.3	6.0	13082.5
Prataap Snacks Ltd.	1652.9	4.2	0.0	1.2	3.2	129.9	4.1	37.2	1.6	2639.2

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